CASCADIA ANALYTICS

Rheinmetall AG

Equity Research Note | RNMBY | 21 OCTOBER 2026

€80.5B Backlog

Rheinmetall AG screens as a Buy with a $355.17 blended target, 50% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$237.27	$355.17	+50%	BUY

Investment Thesis

€80.5B Backlog. Order backlog up from €56B a year ago gives years of revenue visibility. Q2 alone booked €11.37B of new orders, outstripping delivery capacity [H1 2026 report][Press]. European Rearmament. Germany's €108.2B defense budget for 2026, EU SAFE program orders, and NATO restocking. The 2030 roadmap targets €50B sales at >20% margin [Press][CMD Nov 2025]. Market Prices Below Bear Case. At $237.27 [Mkt 17-Oct-26], the DCF base of $347.49 implies +46% upside, and the market's implied 18% CAGR sits under the

- €80.5B Backlog
- European Rearmament
- Market Prices Below Bear Case

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The latest print

European Rearmament. Germany's €108.2B defense budget for 2026, EU SAFE program orders, and NATO restocking. The 2030 roadmap targets €50B sales at >20% margin.

Market Prices Below Bear Case. At $237.27, the DCF base of $347.49 implies +46% upside, and the market's implied 18% CAGR sits under the 27% bear case. The stock is down ~50% from its peak on pessimism, not fundamentals.

€80.5B	€5.23B	€786M	15.0%	€3.289B	€562M
ORDER BACKLOG (H1 2026)	REVENUE (H1 2026)	OPERATING RESULT (H1 2026)	OPERATING MARGIN (H1 2026)	REVENUE (Q2 2026)	OPERATING PROFIT (Q2 2026)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Order Backlog (H1 2026)	€80.5B	+44% vs €56B a year earlier	Up
Revenue (H1 2026)	€5.23B	+39%	Up
Operating Result (H1 2026)	€786M	+74%	Up
Operating Margin (H1 2026)	15.0%	+2.9 pts from 12.1%	Up
Revenue (Q2 2026)	€3.289B	+69%	Up
Operating Profit (Q2 2026)	€562M	17.1% margin; beat €470M consensus	Up
FY2026 Revenue Guide	€13.7-14.2B	~+40% vs 2025	Up
FY2026 Operating Margin Guide	~19%	+0.5 pts vs 2025 (18.5%)	Up

The moat

2030 roadmap: €50B sales (5× 2025) at operating margin above 20%, pure-play defense after civilian exit

The growth engine

German defense budget of €108.2B for 2026; NATO members rebuilding stocks

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	26.6%	$43.16B	19.9%	**$210.16**	-11%
Base	50%	37.0%	$59.18B	21.9%	**$347.49**	+46%
Bull	25%	45.6%	$75.50B	23.3%	**$515.55**	+117%

Bear: downside case at $210.16 (-11%).

Base: central case at $347.49 (+46%).

Bull: upside case at $515.55 (+117%).

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The probability-blended target implies 50% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +50% from the $237.27 reference price.

$355.17
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$16.80B**
Valuation horizon	**2026-2030**
Live WACC	**9.16%**
Terminal growth	**2.0%**
Net debt	**$3.20B**
2030 FCF (Base)	**$7.69B**
10-year Treasury yield	**5.1%**
Beta	**1.10**
Equity risk premium	**3.7%**

BUY | $355.17 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 17.3%. below Bear case (27%) , pessimistic

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$18.2B	$64.83	+10%	$43.4B	$174.14	+30%	$93.4B	$390.33
-9%	$19.0B	$68.54	+11%	$45.2B	$181.94	+31%	$96.8B	$405.04
-8%	$19.9B	$72.42	+12%	$47.1B	$190.02	+32%	$100.3B	$420.20
-7%	$20.9B	$76.44	+13%	$49.0B	$198.37	+33%	$103.9B	$435.80
-6%	$21.8B	$80.63	+14%	$51.0B	$207.01	+34%	$107.6B	$451.85
-5%	$22.8B	$84.99	+15%	$53.1B	$215.94	+35%	$111.4B	$468.38
-4%	$23.9B	$89.52	+16%	$55.2B	$225.16	+36%	$115.3B	$485.39
-3%	$25.0B	$94.22	**+17%**	**$57.4B**	**$234.70**	+37%	$119.4B	$502.88
-2%	$26.1B	$99.11	+18%	$59.7B	$244.55	+38%	$123.5B	$520.87
-1%	$27.3B	$104.19	+19%	$62.0B	$254.72	+39%	$127.8B	$539.38
+0%	$28.5B	$109.46	+20%	$64.5B	$265.23	+40%	$132.2B	$558.41
+1%	$29.7B	$114.93	+21%	$67.0B	$276.07	+41%	$136.7B	$577.96
+2%	$31.1B	$120.60	+22%	$69.6B	$287.26	+42%	$141.4B	$598.07
+3%	$32.4B	$126.49	+23%	$72.2B	$298.81	+43%	$146.1B	$618.73
+4%	$33.8B	$132.59	+24%	$75.0B	$310.72	+44%	$151.0B	$639.95
+5%	$35.3B	$138.92	+25%	$77.8B	$323.00	+45%	$156.1B	$661.75
+6%	$36.8B	$145.48	+26%	$80.7B	$335.66	+46%	$161.2B	$684.15
+7%	$38.4B	$152.27	+27%	$83.8B	$348.72	+47%	$166.6B	$707.14
+8%	$40.0B	$159.31	+28%	$86.9B	$362.18	+48%	$172.0B	$730.76
+9%	$41.7B	$166.59	+29%	$90.1B	$376.04			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$51.67B	—	2.0%	-$3.20B	$48.47B	**$210.16**
Base	$83.35B	—	2.0%	-$3.20B	$80.15B	**$347.49**
Bull	$122.12B	—	2.0%	-$3.20B	$118.92B	**$515.55**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$228.53	$228.53	$247.10	$264.73	$280.10	$291.29
Base	$377.89	$377.89	$408.57	$438.43	$465.22	$485.42
Bull	$560.68	$560.68	$606.53	$651.75	$693.00	$724.69

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $355.17 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

2030 roadmap: €50B sales (5× 2025) at operating margin above 20%, pure-play defense after civilian exit

German defense budget of €108.2B for 2026; NATO members rebuilding stocks

Largest Western munitions producer; expanding from ~70k to 1M+ artillery rounds annual capacity

KNDS consolidation optionality: strategic upside not in the base case, per sell-side research

Revenue and margin trend

METRIC	FY23	FY24	FY25	H1 2026
Revenue	€7.18B	€9.75B	€9.9B (ex civilian)	€5.23B
Operating Margin	12.8%	15.2%	18.5%	15.0%
Order Backlog	€38.3B	€55.0B	n/a	€80.5B

Valuation cross-check

Fwd P/E ~26-29x

DCF Base $347.49 vs $237.27 (+46%)

Reverse DCF implies 18% CAGR vs 27% bear case

The model says the market is pricing worse than the bear case; 46% upside to base.

Leonardo fwd 23.2x

BAE ~20× 2027

Rheinmetall PEG 0.66, best of trio

Modest premium to peers on P/E, but growth is 2-3x theirs; best PEG in the European defense set.

52wk range €909-€1,966

P/E compressed from 65x+ in 2025

Stock down ~50% from its peak while earnings doubled. Multiples are well below their own history.

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What to monitor

Nov 5, 2026. Q3 2026 Earnings (Positive): Q2 beat consensus operating profit by ~20%. H2 carries the margin ramp to ~19% for the full year.

2026. German Budget Allocation (Positive): €108.2B defense budget for 2026. Framework contract call-offs converting to firm orders is the re-rating trigger.

2026-27. Contract Flow (Positive): Romanian €5.7B package, Skynex air-defense orders, artillery ammunition packages for Ukraine and EU members.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$6.4B	$3.4B	$754M	$1.0B
2023	$7.2B	$3.9B	$854M	$1.2B
2024	$7.7B	$4.2B	$1.3B	$1.7B
2025	$9.9B	$5.2B	$1.7B	$2.2B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$8.1B	$5.0B	$2.8B	$545M
2023	$11.7B	$8.1B	$3.3B	$850M
2024	$14.3B	$9.9B	$4.0B	$1.2B
2025	$16.8B	$11.2B	$5.0B	$1.6B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$174M	$-349M	$-131M	$-175M
2023	$743M	$-398M	$746M	$345M
2024	$1.7B	$-732M	$-234M	$988M
2025	$2.3B	$-872M	$-861M	$1.4B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $355.17 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 32 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.00% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is -42.4% against CEO total pay of $6.77M (Mr. Armin Theodor Papperger), which the model scores as SUB-OPTIMAL ALIGNMENT.

32
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.00% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -42.4%; Mr. Armin Theodor Papperger, Chairman of the Executive Board & CEO, total pay $6.77M
Agency Risk Score	**32 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

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Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Negative Free Cash Flow

Operating free cash flow was -€1.6B in H1 2026 on postponed advance payments, inventory builds, and uncollected receivables. Management expects a significantly negative full-year print.

Execution Delays

Media reports cite delivery delays on the wheeled armored vehicle and Skyranger air-defense system, plus possible quality defects in protective plates.

Aggressive 2030 Target

The €50B 2030 target includes acquisitions and assumes flawless capacity ramp. Missing it would re-rate the growth premium fast.

Backlog Definition

The €80.5B Rheinmetall Backlog includes expected framework-agreement call-offs, not just signed firm orders. Part of the headline number is not yet contracted.

ADR Liquidity & Governance

Unsponsored ADR with thin daily volume (~13k shares on Oct 16). CEO Papperger's leadership style and concentrated decision-making have drawn criticism.

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The strengths

Operating Quality

€80.5B backlog gives multi-year visibility; ROCE was 26.4% in 2024 and operating margin expanded from 12.8% to 18.5% in two years. Net debt is modest at 0.7x EBITDA. The black mark: operating free cash flow went deeply negative in H1 2026 o

Recent Trend

Revenue growth of 36%, 29%, and 39% (H1 2026) with margins climbing each year. Backlog went from €38.3B to €80.5B in under three years. Q2 2026 beat consensus operating profit by ~20%. The momentum is undeniable.

Forward Growth

2030 target of €50B sales at >20% margin is a 5x from 2025. FY26 guides ~40% revenue growth. German €108.2B defense budget and EU rearmament provide the demand. The discount is execution: reported delivery delays and capacity bottlenecks.

Valuation

DCF base $347.49 implies +46% upside, and the market's implied 18% CAGR sits below even the 27% bear case, which is pessimistic. Forward P/E of ~26-29x carries a premium to Leonardo (23x) and BAE (20x), but growth is 2-3x theirs and PEG is

Cascadia scorecard

Composite score 80: Highly Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	€80.5B backlog gives multi-year visibility; ROCE was 26.4% in 2024 and operating margin expanded from 12.8% to 18.5% in two years. Net debt is modest at 0.7x EBITDA. The black mark: operating free cash flow went deeply negative in H1 2026 on working capital.	78
Recent Trend	Revenue growth of 36%, 29%, and 39% (H1 2026) with margins climbing each year. Backlog went from €38.3B to €80.5B in under three years. Q2 2026 beat consensus operating profit by ~20%. The momentum is undeniable.	90
Forward Growth	2030 target of €50B sales at >20% margin is a 5x from 2025. FY26 guides ~40% revenue growth. German €108.2B defense budget and EU rearmament provide the demand. The discount is execution: reported delivery delays and capacity bottlenecks.	85
Valuation	DCF base $347.49 implies +46% upside, and the market's implied 18% CAGR sits below even the 27% bear case, which is pessimistic. Forward P/E of ~26-29x carries a premium to Leonardo (23x) and BAE (20x), but growth is 2-3x theirs and PEG is the best in the peer set.	78
Catalysts & Risk	Q3 earnings on Nov 5, German budget allocations, and steady contract flow are near-term positives. Risks: negative free cash flow, execution delays on vehicle and air-defense programs, CEO concentration, and thin ADR liquidity. Positive skew given the pessimistic pricing.	68

Investment view

Further FCF deterioration or delivery delays would cut Operating Quality and Trend. Conversely, German budget call-offs converting to firm orders or a major framework win could re-rate the stock toward the DCF base ($347.49).

Investment view: Buy. The $355.17 blended target implies +50%, balancing the $210.16 / $347.49 / $515.55 Bear / Base / Bull outcomes.

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